Tutorial 4

# Top-Down Technical Analysis: Weekly to Intraday

A student-ready workflow for building macro bias first and using lower timeframes only for timing and execution.

### Module purpose

Prepared from the April 23, 2026 class transcript. The live discussion repeatedly emphasized starting on the weekly and daily charts, then stepping down through the four-hour, two-hour, and intraday timeframes to build a macro-based bias before acting. Educational material only - not investment advice.

| Ideal length | Audience | Student output |
|---|---|---|
| 50-65 minutes | Developing traders who get lost on lower timeframes | Four-timeframe bias worksheet + marked chart hierarchy |

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# Lesson snapshot

### What the live conversation was really about

The session kept returning to one discipline rule: do not start on the one-minute or five-minute chart. Start high, then work down. Weekly gives context, daily refines it, four-hour and two-hour show the active structure, and only then should a scalper drop into the execution window. The point is not to draw more lines. The point is to stop the lower timeframe from lying to you.

The most important phrase in the conversation was macro-based bias. A trader first builds a higher-timeframe view, then uses smaller timeframes only to time participation and define risk. This tutorial turns that sequence into a repeatable charting routine for students.

| Conversation idea | Student version | Why it matters |
|---|---|---|
| Start on the weekly, then daily. | Build the map before studying the traffic. | Without context, intraday noise looks meaningful. |
| Micro structure comes from macro bias. | Use the higher timeframe to decide which smaller moves deserve attention. | This reduces random long-short flipping. |
| Do not live on the one-minute chart. | Drop lower only after the bigger structure is marked. | Execution improves when the chart has hierarchy. |

# Learning objectives

- Build a top-down chart routine from weekly to intraday without skipping the higher-timeframe map.
- Separate structural levels from execution levels.
- Use support, resistance, trend lines, and price floors in a consistent order.
- Define macro bias first, then look for micro structure that aligns with that bias.
- Create one-page chart notes that can be reviewed before the open or before a live trade.

# The timeframe ladder

| Timeframe | Main job | Questions to answer before moving down |
|---|---|---|
| Weekly | Map the dominant trend and the major zones. | Where are the big untouched highs, lows, support shelves, and resistance shelves? |
| Daily | Refine the active structure. | Is the market trending, pulling back, compressing, or reclaiming a major area? |
| 4-hour / 2-hour | Bridge macro structure to active trade zones. | Which part of the daily structure is active right now, and where is the nearest danger area? |

| Timeframe | Main job | Questions to answer before moving down |
| --- | --- | --- |
| 30-minute / 15-minute | Locate the morning or session structure. | What is the working intraday box, trend line, or reclaim level? |
| 5-minute and below | Execute and manage risk only after the map is complete. | Is the lower-timeframe move confirming the higher-timeframe bias, or only creating noise? |

### Student-safe framing

Higher timeframes are for meaning. Lower timeframes are for timing. When students confuse those jobs, they overtrade.

## What to mark on each chart

| Chart level | What to draw | What students often miss |
|---|---|---|
| Weekly | Major trend lines, prior swing highs and lows, long-lived support and resistance zones. | Older levels can still matter if they were defended multiple times. |
| Daily | Current swing structure, pullback depth, reclaimed zones, and broad friction areas. | A strong daily zone often looks small intraday until price reaches it. |
| 4-hour / 2-hour | Working support, resistance, active pullback channel, and possible price floor. | This is often where a weak intraday thesis gets invalidated. |
| 30-minute / 15-minute | Micro trend lines, session boxes, breakout or breakdown triggers. | A micro break means little if it runs directly into higher-timeframe friction. |

## A practical top-down workflow

| Step | Action | Deliverable |
|---|---|---|
| 1 | Start on the weekly and draw only the levels that still matter. | Two to five major zones. |
| 2 | Drop to the daily and label the current trend or pullback. | One-sentence macro bias. |
| 3 | Use the 4-hour or 2-hour to locate the active structure and nearest invalidation. | A clear danger zone. |
| 4 | Go to the 30-minute or 15-minute and mark the session structure. | An execution box or line in the sand. |
| 5 | Only then use the 5-minute for entry and management. | Entry trigger, stop, and reason. |

### Optional upgrade: Anchored VWAP

Anchored VWAP can help students tie price, volume, and time to a meaningful event such as a breakout, earnings gap, swing high, or panic low. It is best used after the higher-timeframe structure is already marked, not as a substitute for it.

## Common mistakes

- Starting on the one-minute chart and trying to infer the daily structure from noise.
- Drawing every possible line instead of only the levels that still matter.
- Treating a small break as a signal even when it runs straight into higher-timeframe resistance.

- Confusing a pullback with a full reversal because the student skipped the weekly and daily maps.
- Using indicators to replace context instead of to refine it.

## Student assignment

### Four-timeframe bias worksheet

Pick one liquid symbol. Mark the weekly, daily, 4-hour, and 15-minute charts. Write one sentence for the bias on each timeframe, then explain where they agree and where they conflict. No entry plan is allowed until the higher-timeframe map is finished.

## References and suggested outside reading

[1] StockCharts ChartSchool, Technical Analysis. https://chartschool.stockcharts.com/table-of-contents/overview/technical-analysis

[2] StockCharts ChartSchool, Support & Resistance. https://chartschool.stockcharts.com/table-of-contents/chart-analysis/support-and-resistance

[3] CMT Association, 2026 CMT Program Guide. https://cmtassociation.org/wp-content/uploads/2026/03/2026-CMT-Program-Guide_v2026.3.5.pdf

[4] CMT Association, Fill The Gap Episode Sixty-One, Anchored VWAP Legend Brian Shannon, CMT. https://cmtassociation.org/podcast/fill-the-gap-episode-sixty-one-anchored-vwap-legend-brian-shannon-cmt/

[5] CMT Association, Maximum Trading Gains With Anchored VWAP. https://cmtassociation.org/wp-content/uploads/2024/01/Shannon-Specific-Anchored-VWAP-Strategies-1.pdf